

S E R V E D

February 23, 2018

FEDERAL MARITIME COMMISSION

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DOCKET NO. 17-08

**CARLSTAR GROUP LLC f/k/a CARLISLE TRANSPORTATION PRODUCTS, INC.
and CTP TRANSPORTATION PRODUCTS, LLC**

v.

UTi, UNITED STATES, INC.; UTi UNITED STATES, LLC; and DSV AIR & SEA, INC.

ORDER STRIKING COMPLAINANTS' SUR-REPLY

BACKGROUND

This matter is currently before me on Respondents' motion to dismiss. In an order issued December 29, 2017, granting Respondents' motion to enlarge the time to file their reply to Complainants' response to the motion, Respondents were directed to include in their reply a discussion of the effect of the tolling agreements described in paragraphs 32-34 of the Complaint on Respondents' statute of limitations argument. *Carlstar Group LLC f/k/a Carlisle Transportation Products, Inc. and CTP Transportation Products, LLC v. UTi, United States, Inc.; UTi United States, LLC; and DSV Air & Sea, Inc.*, FMC No. 17-08 (ALJ Dec. 29, 2017) (Order Enlarging Time to File Reply Memorandum) (*Carlstar v. UTi*). On January 2, 2018, an order was issued directing Complainants to include responses to the following questions in their response to the motion:

1. Did UTi issue its own bills of lading on the shipments subject to the Carlisle Transportation Products Agreement?
2. Did vessel-operating common carriers or other [non-vessel-operating common carriers (NVOCCs)] issue bills of lading identifying UTi as the shipper on the shipments subject to the Carlisle Transportation Products Agreement?

Carlstar v. UTi, FMC No. 17-08, Order at 5 (ALJ Jan. 2, 2018) (Amended Order Enlarging Time to File Reply Memorandum and Order Directing Complainants to Supplement Brief Responding to

Respondents' Motion to Dismiss) (emphasis in original). The order further enlarged the time for Respondents to:

serve and file their reply to Complainants' response to Respondents' motion to dismiss **and** matters raised in Complainants' supplemental brief. On or before January 31, 2018, Complainants may file a sur-reply to Respondents' reply **limited solely to the issue of the operative date for the statute of limitations and to respondents' reply to complainants' supplemental brief.**

Id. (emphasis in original).

In their supplemental response pursuant to the January 2, 2018, order, Complainants' argument states:

The Commission's Order noted that "[i]t is not clear whether Carlstar contends UTi was operating as [an NVOCC] or an ocean freight forwarder on the shipments that were subject to the Carlisle Transportation Products Agreements." (Order at 4.) The Commission's Order therefore directed Carlstar to file supplemental briefing setting forth Carlstar's "contentions regarding the operational status of UTi on the shipments that were subject to the Carlstar Transportation Products Agreement." (*Id.*) It is Carlstar's contention that UTi was operating as an NVOCC on the shipments that were subject to the Carlisle Transportation Products Agreement. Indeed, Carlstar would not have understood this point to be in dispute.

The Order further directed Carlstar to include responses to two (2) questions. First, the Order directed Carlstar to answer the following question: "Did UTi issue its own bills of lading on the shipments subject to the Carlisle Transportation Products Agreement"? (Order at 5.) Carlstar answers this question in the affirmative. Pursuant to the Order, Carlstar attaches as Exhibit A a representative sample of bills of lading that UTi issued to Carlstar on the shipments that were subject to the Carlisle Transportation Products Agreement. Second, the Order directed Carlstar to answer the following question: "Did vessel-operating common carriers or other NVOCCs issue bills identifying UTi as the shipper on the shipments subject to the Carlisle Transportation Products Agreement"? (Order at 5.) Carlstar likewise answers this question in the affirmative. Pursuant to the Order, Carlstar attaches as Exhibit B a representative sample of a carrier-issued bill of lading and carrier-issued invoices identifying UTi as the shipper.

(Complainants' Supplemental Memorandum in Opposition to Respondents' Motion to Dismiss at 1-2.)

In their reply to Complainants' response and supplemental response, Respondents modified their argument on statute of limitations to contend that claims that arose more than three years before December 20, 2016, apparently the date on which the parties agreed to the tolling, are barred by the

statute of limitations. In response to Complainants' supplemental brief, Respondents state that UTi operated "exclusively" as an NVOCC on the shipments. (Respondents' Reply to Complainants' Opposition and Supplemental Brief to Motion to Dismiss at 3.)¹ Respondents do not contest Complainants' statement that UTi issued its own bills of lading or that vessel-operating common carriers issued bills of lading identifying UTi as the shipper, and do not dispute the documentation attached to Complainants' supplemental response demonstrating that UTi and vessel-operating common carriers issued bills of lading for the shipments.

Complainants filed their sur-reply on January 31, 2018. The sur-reply does not address Respondents' modification of its statute of limitations argument. Complainants recognize that "UTi concedes that "[o]ver the course of its existence, UTi operated as [an] NVOCC." (Complainants' Surreply in Further Opposition to Respondents' Motion to Dismiss at 2.) Most of the seven-page sur-reply reargues points already addressed in Complainants' response to the motion or raises new arguments.

On February 14, 2018, Respondents filed a motion to strike Complainants' sur-reply. Respondents note the limitation placed on the sur-reply in the January 2, 2018, order and contend:

In their Surreply Complainants failed to address the statute of limitations issue. More significantly, Complainants went completely beyond the scope of the issues addressed in Respondents' Reply, raising several new arguments that had not been under discussion and citing to several new sections of FMC rules and regulations. See Surreply at *2 (alleging new claims under to 46 C.F.R. § 515.31(e) and (i)); Surreply at *3 (alleging new claims under 46 C.F.R. § 515.33); Surreply at *3–5 (alleging for the first time that the Agreement is properly classified as an NVOCC Service Arrangement (NSA) and setting forth a variety of new claims pursuant to that categorization); Surreply at *5 (alleging the possibility of the rates charged being higher than the tariffs and alleging that UTi withheld them from Complainants); Surreply at *7 (alleging new speculative facts that UTi invoices contained "false information").

The unfortunate effects of Complainant's decision to contravene the Amended Order are clear. Respondents have no opportunity to address these new arguments, which are specious and misleading. Respondents object to Complainants' continued attempts to espouse speculative and unsupported factual allegations and to try their hand at any legal claims predicated on these allegations, in a transparent search to find a coherent legal argument against Respondents. Complainants have

¹ Both NVOCCs and ocean freight forwarders are subject to the provisions of section 41102(c) of the Act, which applies to common carriers and ocean transportation intermediaries, because an ocean freight forwarder is an ocean transportation intermediary. 46 U.S.C. § 40102(19). Section 41104 applies only to common carriers. Therefore, if UTi operated as an ocean freight forwarder on the Carlisle shipments, it would not be subject to the provisions of section 41104.

at times claimed that Respondents overcharged them per the Agreement, that the Agreement was a service contract, and, now, that the agreement was a NSA but also that Carlstar may have been overcharged per a tariff and that UTi falsified invoices. Complainants' attempts to change their factual assertions and legal arguments with each successive filing is clear evidence of a fishing expedition with no real legal basis.

With the understanding that the present Motion is a non-dispositive motion governed by FMC Rule 71, Respondents have conferred in good faith with Complainants regarding this Motion prior to filing, to determine whether there is any opposition to the relief sought. This exchange occurred on February 14, 2018, and established that Complainants oppose the Motion.

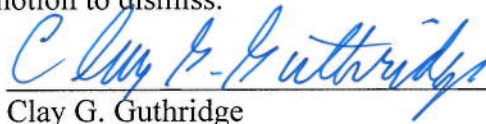
(Respondents' Motion to Strike Complainant's Surreply at 2-3.) Complainants have not filed a response to the motion to strike.

DISCUSSION

A motion to dismiss is a dispositive motion. 46 C.F.R. § 502.69(g). When a party files a dispositive motion, the non-moving party must file a response within fifteen days and the moving party may file a reply within seven days after that. 46 C.F.R. § 502.70(a) through (c).² "The non-moving party may not file any further reply unless requested by the Commission or presiding officer, or upon a showing of extraordinary circumstances." 46 C.F.R. § 502.70(d).

In this proceeding, the undersigned requested a sur-reply from Complainants (the non-moving party) "**limited solely to the issue of the operative date for the statute of limitations and to respondents' reply to complainants' supplemental brief.**" *Carlstar v. UTi*, FMC No. 17-08, Order at 5 (ALJ Jan. 2, 2018) (Amended Order Enlarging Time to File Reply Memorandum and Order Directing Complainants to Supplement Brief Responding to Respondents' Motion to Dismiss) (emphasis in original). Complainants did not limit their sur-reply solely to the issue of the operative date for the statute of limitations and to Respondents' reply to Complainants' supplemental brief as instructed, but reargued positions argued in Complainants' response to the motion to dismiss and raised new arguments. Thus, the sur-reply does not comply with 46 C.F.R. § 502.70(d) and the January 2, 2018, order permitting the sur-reply. Therefore, it is hereby

ORDERED that the portions of Complainants' sur-reply not addressing the operative date for the statute of limitations or Respondents' reply to complainants' supplemental brief are stricken and will not be considered ruling on Respondents' motion to dismiss.


Clay G. Guthridge
Administrative Law Judge

² The presiding officer has the authority to adjust these times. 46 C.F.R. § 502.105.